Made in India iPhone to rescue

How India saved Apple from Trump's China tariffs on iPhone

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In the final week of March, five cargo planes departed India in quick succession. Their payload? Thousands of freshly manufactured iPhones, bound for warehouses across the United States. The urgency was unmistakable as Apple was racing against the clock for an unusual logistical operation that was completed in just three days.

On April 5, a minimum of new 10% reciprocal tariff announced by U.S. President Donald Trump went into effect, targeting electronics imported from key Asian manufacturing hubs. For Apple, which relies heavily on China for the bulk of its iPhone production, the new duties formed a part of a wider escalation of US-China trade tensions, which could have meant a potential cost surge of $300 per device, as per TechInsights' Wayne Lam. But India offered a relatively safer port of trade.

Why did Apple ship iPhones from India to US?

The flights from India weren't just a logistics exercise. They were the first tangible sign of a new chapter in Apple's production playbook. You see, for years, China has been the undisputed epicentre of iPhone manufacturing, thanks to its vast supplier networks, labour scale, and government incentives. But, the US-China tariff war, revived under Trump's renewed campaign rhetoric, has forced the tech giant to reconsider its overdependence on one region.

Now, India is stepping into the frame, not as a supplementary hub, but increasingly as a primary alternative -- something that was unimaginable just a year or so ago.

According to senior government officials, the March shipments were aimed at preemptively stockpiling inventory in the US ahead of the tariff hike. Apple's U.S. warehouses are now reportedly stocked for months, cushioning the company from immediate price shocks. But this is only a temporary fix.

The broader plan is more ambitious: ramp up Indian production for the US market while letting Chinese factories cater to other regions like Europe, Asia, and Latin America. "India's factories will be increasingly used to ship only to the US. Demand in other markets such as Europe, Latin America and even Asia will now be catered to from the China factories," a senior industry executive confirmed to Times of India.

About tech tariffs and future tradeoffs

At the time, Chinese goods faced a 104% tariff, including a recent 50% increase, while Vietnamese goods were subject to 46%. Indian exports, by contrast, are levied at 26%. While Trump has since announced a 90-day halt on these tariffs, announcing some China-based exemptions as well on tech imports.

But until it lasted, this tariff gap between India and China made Indian-made iPhones significantly more competitive in the US, and not just in theory. According to Bank of America analyst Wamsi Mohan, Apple is expected to manufacture 25 million iPhones in India in 2025, up from roughly 15 million last year. Of those, nearly 10 million units initially meant for domestic sale may now be redirected to meet up to 50% of US demand -- which is quite a big deal.

Apple has begun using production at its Indian factories to ship iPhones directly to the US, a shift from its earlier strategy where most of its exports to the US came from China. As global value chains continue to integrate with India's manufacturing base, the country's role in global electronics production is only expanding rapidly. d

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